

MEME COIN TRADING GUIDE

Simple Strategy to Buy Low & Sell for Profit

Prepared by Your AI Trading Assistant | May 2026

1. WHAT IS A MEME COIN?

A meme coin is a brand new cryptocurrency token that anyone can create and launch in seconds. They usually start at a very tiny price — sometimes less than \$0.0001 (a fraction of one cent). When a lot of people start buying it, the price goes up fast. Early buyers who sell at the right time can double, triple, or even 100x their money.

Famous examples:

Coin	Started At	Peak Price	If you invested \$100
Dogecoin (DOGE)	\$0.0002	\$0.73	\$365,000
Shiba Inu (SHIB)	\$0.000000001	\$0.00008	\$8,000,000
Pepe (PEPE)	\$0.000001	\$0.00002	\$2,000

* These are rare extreme cases. Most meme coins go to zero.

2. YOUR MATH — YOU ARE 100% CORRECT

Here is exactly how the profit works with your own numbers:

YOUR EXAMPLE	Numbers	Result
You spend	\$50 total	Your investment
Price per coin at buy	\$1.00 each	You get 50 coins
Price goes up to	\$2.00 each	2x pump
Your 50 coins now worth	50 x \$2.00	\$100.00
Your profit	\$100 - \$50	+ \$50 PROFIT
Return on investment	\$50 / \$50	100% gain = DOUBLED

More profit examples with different pumps:

You Invest	Coins Bought @ \$1	Price Goes To	Sell Value	YOUR PROFIT
\$50	50 coins	\$2 (2x)	\$100	+\$50
\$50	50 coins	\$3 (3x)	\$150	+\$100
\$50	50 coins	\$5 (5x)	\$250	+\$200
\$100	100 coins	\$2 (2x)	\$200	+\$100
\$100	100 coins	\$3 (3x)	\$300	+\$200
\$200	200 coins	\$2 (2x)	\$400	+\$200

3. HOW IT WORKS — STEP BY STEP

- STEP 1** Someone creates a new meme coin on Pump.fun (costs \$2 to create on Solana blockchain).
- STEP 2** The coin launches at a very tiny price — like \$0.000001 or even less than 1 cent.
- STEP 3** Word spreads on Twitter/X, Telegram, TikTok. People start buying.
- STEP 4** More buyers = price goes UP. Early buyers who bought at \$0.001 now see \$0.01 = 10x profit.
- STEP 5** Smart early buyers SELL at 2x, 3x, or 5x and take their profit.
- STEP 6** Late buyers get stuck when early buyers sell (price drops back down).

4. WHERE TO FIND NEW MEME COINS

Tool / Website	What It Does	Cost
pump.fun	Launch and buy new Solana meme coins	FREE
dexscreener.com	See NEW tokens the second they launch	FREE
dextools.io	Filter tokens by liquidity and volume	FREE
coinsniper.net	List of vetted presale projects	FREE
honeypot.is	Check if a token is a SCAM before buying	FREE

Phantom Wallet (App)	Wallet to hold and trade Solana tokens	FREE
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5. 5 SAFETY RULES — ALWAYS CHECK BEFORE BUYING

RULE 1	LIQUIDITY LOCKED The developer locked the money in the pool so they cannot steal it and run. Check on DEXTools. If NOT locked — SKIP immediately.
RULE 2	MINIMUM \$10,000 LIQUIDITY If the coin has less than \$10,000 total, one person can crash the price instantly. Always check the liquidity number on DexScreener.
RULE 3	GROWING VOLUME Volume should be increasing — for example \$500 five minutes ago, now \$5,000. That means real people are buying. Flat or falling volume = no interest.
RULE 4	NOT A HONEYPOT Some fake tokens let you BUY but block you from SELLING. Always check honeypot.is before you spend even \$1. If it is a honeypot — your money is trapped forever.
RULE 5	CONTRACT RENOUNCED The developer gave up control over the code. They cannot secretly print more tokens and crash the price. Look for 'Renounced' on DexScreener.

6. THE 50/50 EXIT RULE — HOW TO PROTECT YOUR MONEY

This is the most important rule for meme coin trading. When your coin doubles (2x) in price — sell HALF immediately. This way you get your original money back, and the rest rides for free.

Example with \$50 investment	
You buy	50 coins at \$1 each = \$50 spent
Price doubles to \$2	Your 50 coins = worth \$100
YOU SELL HALF (25 coins)	25 x \$2 = \$50 back in your pocket
You still hold	25 coins — these are NOW FREE (cost you nothing)

If it goes to \$0	You lost nothing — already got \$50 back
If it goes to \$5	25 x \$5 = \$125 — PURE PROFIT

7. YOUR BUDGET PLAN

Your Total Crypto Budget	How to Split It	Why
\$250 total		
\$200 (80%)	ETH + SOL day trading	Safer, consistent profit
\$25 (10%)	Meme coin sniping	High risk, high reward
\$25 (10%)	Emergency / fees	Always keep some backup
Max per meme coin	\$10 – \$15 only	Never bet big on one coin

8. YOUR FIRST MEME COIN TRADE — EXACT STEPS

Step 1	Download Phantom Wallet app on your phone (free, Solana wallet)
Step 2	Send \$25 worth of SOL from Kraken to your Phantom wallet
Step 3	Open DexScreener → tap 'New Pairs' → filter by Solana chain
Step 4	Watch new tokens appear in real time — do NOT buy yet, just watch
Step 5	When you see a token — go to honeypot.is and paste the contract address
Step 6	Check: Is liquidity locked? Is contract renounced? Volume growing?
Step 7	If ALL checks pass → buy \$10 worth on Pump.fun or Raydium
Step 8	Set a mental target: when price doubles (2x) → sell half immediately
Step 9	Let the other half ride. If it goes to \$0 = you lost \$5. If it pumps = profit
Step 10	Never invest more than \$15 in any single meme coin. Ever.

■ IMPORTANT WARNING 98% of meme coins go to ZERO. Only invest money you can afford to LOSE completely. Never use rent money, savings, or borrowed money. Treat every meme coin investment like a lottery ticket — it might win, it might not. Start with \$10 only. Learn first. Scale later.

This guide is for educational purposes only. Not financial advice. Always do your own research before investing in any cryptocurrency.

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